AUTOMOBILE ENGINEERING · PART 10 OF 11

The Indian Car Market Today

By Isagi · 9 November 2026 · All specs as of November 2026 (manufacturer brochures and listings)

TL;DR

India sold about 47 lakh passenger vehicles in FY2026 (April 2025 to March 2026), up between 8% and 13% on FY2025 depending on whether you count factory dispatches or retail registrations. Maruti Suzuki still sells nearly two in five cars (38.9% share), but its share is slipping as Mahindra, Tata, Toyota and Skoda grow and Hyundai shrinks. The market is concentrated: three makers hold two-thirds of sales. The list of best-selling models is mostly compact SUVs plus a few Maruti staples, and electric cars are still a small slice. As of November 2026, the numbers below are the best I could verify; sources differ slightly.

1. How big is the market, and which number to use

Two data sets are used in India, and they answer different questions:

- **Wholesale (dispatches):** cars the maker sent to dealers, reported monthly by SIAM and company statements. Rushlane puts FY2026 at 46.83 lakh units, up 8.4% on 43.2 lakh in FY2025. (Another summary of the same data gave 46.37 lakh and 7.5%, so small differences exist between reports.)
- **Retail (registrations):** cars actually registered to buyers, from the government's VAHAN database via FADA. FY2026 came to 47.05 lakh, up 13.0% on 41.64 lakh.

The two differ because dealer stock rises and falls. If makers dispatch more than dealers sell, stock builds up; wholesale grows faster than retail. A manager should read both: retail shows real demand, wholesale shows what the factories were doing.

2. Who sells what: FY2026 market share

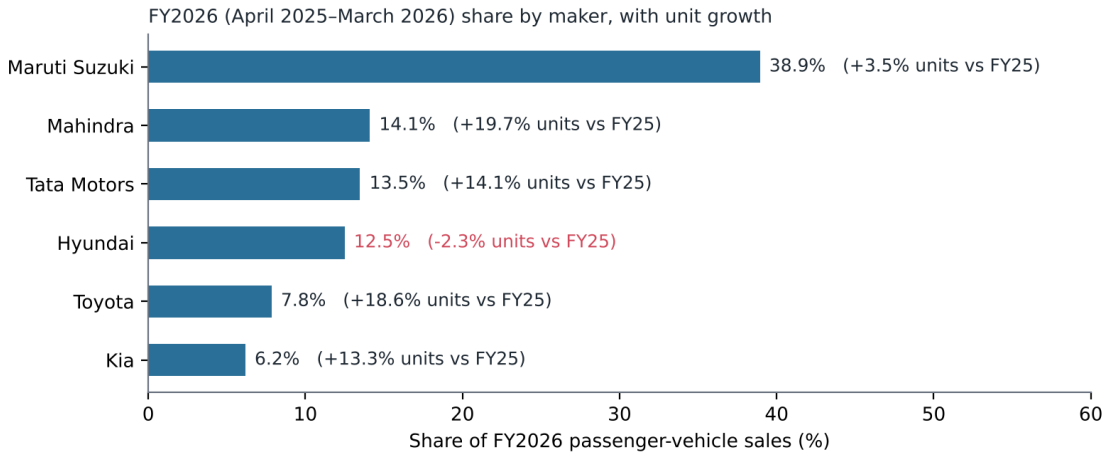


Fig 1. Share of FY2026 sales by maker (wholesale) with unit growth against FY2025.

Maker	FY26 units	FY26 share	Change in units
Maruti Suzuki	18,23,130	38.93%	+3.5%
Mahindra	6,60,276	14.10%	+19.7%
Tata Motors	6,31,387	13.48%	+14.1%
Hyundai	5,84,906	12.49%	−2.3%
Toyota	3,67,152	7.84%	+18.6%

Maker	FY26 units	FY26 share	Change in units
Kia	2,89,035	6.17%	+13.3%
Skoda	75,555	about 1.6%	+68.4%

Other FY2026 movements: MG grew 17.3%, Honda fell 6.0% and Volkswagen fell 11.0%. VinFast, a new entrant, registered 2,390 cars in its first year (VAHAN). Maruti's share fell from about 40.8% to 38.9%.

3. A concentrated market

- The top three makers (Maruti, Mahindra, Tata) hold 66.5% of the market; the top five add Hyundai and Toyota to reach 86.8%.
- A standard concentration measure, the Herfindahl-Hirschman Index (sum of squared shares), is about 2,150 from the six largest makers alone, a level that competition regulators in the US treat as highly concentrated (above 1,800).*
- In the retail data, Mahindra ranked second for the full year, about 18,000 cars ahead of Tata; in the January–June 2026 data, Tata (14.6%) was ahead of Mahindra (13.8%). Rankings flip between periods, so always state the period.

For a manager, the message is that scale advantages (platforms, dealer networks, supplier leverage) are large, and Mahindra and Tata, whose lineups are mostly SUVs, grew faster than the overall market (19.7% and 14.1% against 8.4%).

4. What actually sells: best-selling models

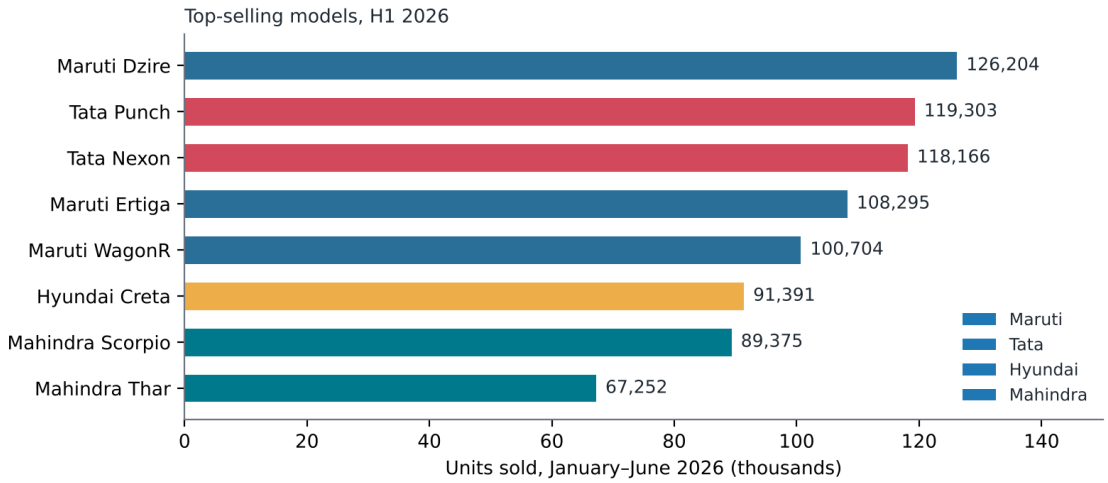


Fig 2. Top-selling models, January–June 2026 (H1 2026). The Scorpio entry combines the Scorpio-N and Scorpio Classic.

Of the top eight, five are SUVs (Punch, Nexon, Creta, Scorpio, Thar), one is a sedan (Dzire), one is an MPV (Ertiga) and one is a hatchback (WagonR). Tata Punch was the top-selling SUV. The Tata Punch also topped annual sales in 2024, ending Maruti's long hold on the top spot, according to the sources reviewed.*

5. Forces shaping the market

- **SUV shift:** buyers keep moving up from hatchbacks to compact and mid-size SUVs; the model list above shows it. I could not verify an exact SUV share, so treat claims of a specific percentage with care.
- **Tax (GST 2.0):** from 22 September 2025, small petrol cars (up to 1,200 cc and 4 m) and small diesels (up to 1,500 cc) moved to 18% GST from 28%; larger cars moved to 40% with the compensation cess abolished; EVs stay at 5%. This lowered the effective tax on small cars

most.* None of the sources I retrieved quantify its effect on sales.

- **Fuel choices:** CNG, strong hybrids and E20-ready engines are gaining attention; EVs are still low single digits of sales (my estimate, unverified).* Parts 6 and 7 cover these.
- **Safety:** Bharat NCAP and Global NCAP ratings (Part 5) are now a marketing weapon, and six airbags are becoming common.
- **New entrants:** VinFast and Chinese-linked brands such as MG show that capital and product can disrupt a concentrated market.

6. How a manager should read these numbers

- Always note period (FY vs calendar half) and data type (wholesale vs retail).
- Share is zero-sum; look at units and growth to see who is actually growing.
- Look at models, not just brands: a few models carry a brand (Dzire, Punch, Nexon, Ertiga).
- Policy changes (GST, safety rules, fuel norms) move demand faster than product launches.

Summary

- India sold about 47 lakh passenger vehicles in FY2026; growth was 8–13% depending on wholesale versus retail data.
- Maruti has 38.9% but is losing share; Mahindra, Tata, Toyota and Skoda are growing, Hyundai is shrinking.
- The market is concentrated: the top three hold 66.5%.
- Compact SUVs dominate the best-seller list; five of the top eight models are SUVs.
- GST cuts, safety ratings, hybrids/CNG and EVs are the main forces to watch.
- Always state the period and the data source when quoting market share.

*Unverified or general knowledge: the HHI threshold is the US antitrust guideline value and applied here as a rough indicator, not a competition-law finding; the 2024 annual sales claim (Wikipedia, Tata Punch); GST rates and thresholds (India Briefing, citing PIB; check the official notification); the EV share estimate. Market data: Rushlane (FY2026 wholesale by maker), AutoPunditz (VAHAN/FADA retail FY2026; wholesale commentary), FactoData (January–June 2026 shares and model sales), all retrieved November 2026. Maker and period data differ across sources; units and shares may be revised.

See also: Parts 6 and 7 (EVs, hybrids, CNG). Next: Part 11, How to buy a car.